

Defendant has met its burden of demonstrating the existence of the arbitration agreement in the CSA but has failed to show its scope covers plaintiff's Song-Beverly claims.

First, with respect to the existence of the arbitration agreement in the CSA—as noted above, state contract law governs the rights of parties to enforce an arbitration agreement. To resolve this inquiry, the court applies a three-step burden shifting process. (See *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165 (*Gamboa*); see also *Garcia v. Stoneledge Furniture LLC* (2024) 102 Cal.App.5th 41, 51 [applying three-step burden shifting process, noting “[e]ven when an agreement provides that it is governed by the FAA, courts must first apply state law principles in determining whether the parties entered into an agreement to arbitrate”].)

On the first step, “the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’ [Citation.]” (*Gamboa, supra*, 72 Cal.App.5th at p. 165.) To meet this burden, the moving party can “ ‘attach[] to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’ [Citation.] Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. [Citations.]” (*Ibid.*; accord, *Iyere, supra*, 87 Cal.App.5th at p. 755.) At this step, the movant need not follow the normal procedures of document authentication. (*Iyere*, at p. 755; *Gamboa*, at p. 165.) On the second step, “[i]f the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence” through admissible evidence. (*Iyere*, at p. 755; *Gamboa*, at p. 165.) On the third step, “[i]f the opposing party meets its burden of producing evidence, ... the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (*Gamboa*, at p. 165; *Iyere*, at p. 755.)

Defendant has met its initial burden of producing “prima facie evidence” of the existence of the CSA by setting forth the agreement’s provisions. (See Rao Dec. ¶¶ 2-6, Ex. 2; see also *Iyere, supra*, 87 Cal.App.5th at p. 755; *Gamboa, supra*, 72 Cal.App.5th at p. 165.) Plaintiff has not presented any evidence disputing the existence of the CSA. As such, the burden-shifting process stops here, and defendant need not produce any further evidence to authenticate the document. (See *Ramirez v. Golden Queen Mining Co., LLC* (2024) 102 Cal.App.5th 821, 837.)

As for the scope of this arbitration provision—the CSA governs plaintiff’s “Connected Services,” i.e., certain wireless/GPS, stolen vehicle, and roadside assistance services, and plaintiff’s “Service Plan” for the same. (Rao Dec. at Ex. 2.)

The arbitration provision in the CSA is extremely broad and reads, in relevant part:

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law. However, any dispute you or we may have relating to copyrights or other intellectual property shall not be governed by this agreement to arbitrate. For the avoidance of doubt, this means that any claims you or we may have relating to intellectual property rights against the other, including injunctive and other relief sought, may be brought in a court of competent jurisdiction. The agreement to arbitrate otherwise includes, but is not limited to: [¶] claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising); claims that are currently the subject of purported class action litigation in which you are not a member of a certified class; claims relating to the Vehicle for which you seek product or service support via the sites; claims arising out of or relating to the Telephone Consumer Protection Act; claims relating to your data privacy or information security; and claims that may arise after the termination of this Agreement.

For purposes of this arbitration provision, references to “Hyundai,” “you,” and “us” shall include our respective parent entities, subsidiaries, affiliates, agents, employees, predecessors in interest, successors and assigns, websites of the foregoing, as well as all authorized or unauthorized users or beneficiaries of services, products or information provided

or made available under this or prior Agreements between us relating to or arising from any aspect of your use of the Connected Services, Connected Service Systems, Service Plans, the Vehicle or access of the sites. Notwithstanding the foregoing, either party may bring an individual action in small claims court. You agree that, by entering into this Agreement, you and Hyundai are each waiving the right to a trial by jury or to participate in a class or representative action to the maximum extent permitted by law. ...

(Rao Dec. at Ex. 2.)

Although this arbitration provision purports to cover any and all disputes between the parties regarding “the Vehicle,” the scope of an arbitration clause “ ‘turns on whether the ... claims are “rooted” in the contractual relationship between the parties....’ ” (*Ahern v. Asset Management Consultants, Inc.* (2022) 74 Cal.App.5th 675, 692.) To be arbitrable, the subject claims must have their “roots” in the relationship between the parties that was created by the contract containing the arbitration provision. (*Id.* at pp. 692-693.) “[E]ven under a very broad arbitration provision, such as ‘any controversy or claim arising out of or relating to this agreement,’ ” the subject claims must “ ‘ “have their roots in the relationship between the parties which was created by the contract” ’ before they can be deemed to fall within the scope of the arbitration provision.” (*Rice v. Downs* (2016) 248 Cal.App.4th 175, 188.)

Here, the CSA governs the provision of “Connected Services,” the wireless/remote technology/roadside assistance services received as part of plaintiff’s enrollment in a “Connected Services” subscription. (Rao Dec. at Ex. 2.) The complaint in this case alleges the vehicle contained defects and nonconformities to warranty. (See Complaint.) The “Connected Services” are not at issue in this case and plaintiff’s claims do not arise out of the relationship created by the CSA. As such, the arbitration agreement in the CSA does not encompass plaintiff’s claims. (*Ahern v. Asset Management Consultants, Inc.*, 74 Cal.App.5th at p. 692; *Rice v. Downs*, *supra*, 248 Cal.App.4th at p. 188.)

Accordingly, the motion is denied.

Plaintiff shall give notice of this ruling.